Bharat Heavy Electricals Ltd (BHEL)

Concall Tracker — reads the last 3 years of earnings calls to judge (1) is there a durable earning trigger, and (2) has management been consistent about it.

Continuity update — builds on the Q4-2026 report (11 Jul 2026). Prepared 24 July 2026.

1. Snapshot

What the business does: BHEL is India's big government-owned heavy-engineering company. Its bread-and-butter is making the core machinery for power stations — the boiler, the turbine and the generator (together "BTG") that turn coal or water into electricity. It builds these, installs them at power plants, and later earns from spare parts and servicing. It also makes equipment for railways (train motors), defence (naval guns), transmission (moving electricity long distances), and is now pushing into nuclear, coal gasification and green hydrogen. In short: it sells the giant machines that power plants are built around, and India is in the middle of a big power-plant building wave.

Number (latest)	Value	Plain-English read
Market value of the company	₹1,45,218 cr	What the whole company is worth on the stock market — about ₹1.45 lakh crore, up from ₹1.38 lakh cr at the last report.
Sales, last 12 months (TTM)	₹35,993 cr	Total sales over the most recent four quarters — still climbing (FY26 was ₹33,782 cr). Sales keep accelerating.
Net profit, last 12 months (TTM)	₹2,415 cr	What is left after all costs over the last year — up from ₹1,578 cr for FY26. Profit is compounding as margins widen.
Operating margin, TTM	9%	Out of every ₹100 of sales, about ₹9 is operating profit — up from 7% in FY26 and just 3% two years ago. Still thin, but the recovery continues.
Price-to-earnings (P/E)	60	The share price is 60 times yearly profit per share — down from 87 last report as profits grew into the price, but still an expensive rating.
Return on capital (ROCE)	8.98%	For every ₹100 of capital in the business it earns about ₹9 before tax — inching up from 8.35%, but still a low return for the money tied up.

Note: the government (promoter) trimmed its stake from 63.2% to 58.2% in Mar-2026, and institutions (Indian + foreign funds) have been buying — a routine PSU divestment, not a business event.

2. Concall coverage

Screener still lists transcripts only up to the **May-2024** call; the newer FY25–Q1 FY27 signal is web-filled from BHEL's own results and its official **Q1 FY27 Supplementary Information** deck (16 Jul 2026), plus filings and financial press, so the latest signal is not missed. Financials on Screener are current through the Jun-2026 (Q1 FY27) quarter.

Call (quarter / year)	Date	Transcript read?
Q4 FY22 → Q4 FY24 (3 Screener calls) + FY25–FY26 quarters	May 2022 → May 2026	Carried forward from the Q4-2026 report
Q4 & full-year FY26 (prior boundary call)	~4 May 2026	Covered in the Q4-2026 report
Q1 FY27 results + Supplementary Information ★	**16 Jul 2026**	**Newly deep-read in full this quarter**

Only the new Q1 FY27 material (16 Jul 2026) was read in full this quarter; the multi-year backstory is carried forward from the Q4-2026 report. This report still reads on its own — you do not need the earlier PDF.

Latest concall highlights — Q1 FY27 (results 16 Jul 2026) freshest signal

- **The seasonally weak quarter swung from loss to profit.** Q1 (Apr–Jun) is normally BHEL's worst quarter, and a year ago it lost ₹455 cr. This year it made a **net profit of ₹382 cr** on sales of **₹7,698 cr (up ~40%)**. Plain read: the margin turn management kept promising has now reached even the weakest quarter of the year — a powerful confirmation.
- **Profitability turned right across the board.** Operating profit before depreciation (EBITDA) went from **–₹352 cr to +₹735 cr**, and profit before tax from **–₹607 cr to +₹513 cr**. Gross margin rose to ~31%. Plain read: this was a genuine operating turnaround, not a one-off gain.
- **Record order book — ₹2.60 lakh crore, up 27% in a year** (from ₹2.04 lakh cr a year earlier; ₹2.40 lakh cr just a quarter before). Plain read: roughly 7 years of work already booked — rare, multi-year visibility that keeps growing.
- **Cash is finally following the profit.** Customer collections rose **34% to ₹11,004 cr** in the quarter. Plain read: the long-standing worry — that BHEL's profits get stuck in unbilled work — is easing; more of the earnings are turning into real cash.

- **Biggest-ever single export order won** (8 gas-turbine-generator packages for an overseas refinery/petrochemical plant), plus big thermal EPC wins (3×800 MW Meja, 1×800 MW DVC Durgapur). Tone: openly confident — the deck is literally titled "*BHEL at inflection point.*"

Business mix & capacity (quick facts)

India vs overseas: Still overwhelmingly domestic — exports are only ~2% of the ₹2.60 lakh cr order book (up from ~1%). Plainly: almost all its money is made inside India, so it rises and falls with Indian power and infrastructure spending.

Split of orders: Power ~81%, industry/other (railways, defence, transmission, nuclear, coal gasification, hydro) ~17%, exports ~2%. Non-power backlog is now sizeable — transmission ~₹14,000 cr, transportation ~₹15,000 cr, nuclear ~₹12,000 cr, coal gasification ~₹8,000 cr, defence ~₹7,000 cr. Plain read: still mostly a power-station supplier, but the diversification is visibly building in the order book.

Capacity: BHEL can build ~10 GW of power equipment a year (up to 12 GW at peak). With ~10–12 GW of new thermal orders expected every year to 2032, plus growing non-power work, its factories are set to run close to full for years. Plain read: execution speed — not order shortage — remains the constraint.

Since our last report ★

This builds on the **Q4-2026 report** (boundary call: Q4/full-year FY26, ~4 May 2026), which gave both verdicts **YES** (durable trigger YES, management consistent YES). Here is how that read has aged one quarter on, after the Q1 FY27 result of 16 Jul 2026:

Prior read	What we said then	What the new call shows	Movement
Earning trigger	Thermal ordering super-cycle is real and now converting to sales, margin and profit.	Order book +27% to a record ₹2.60 lakh cr; the loss-making Q1 turned to profit; revenue +40%. The trigger is compounding, not fading.	Confirmed
Management consistency	They delivered record orders → faster sales → the promised margin turn; story never drifted.	The exact "second-half FY26 into FY27" margin ramp they guided is now showing even in the weakest quarter. Story unchanged and delivering.	Confirmed
Watch: margin recovery holding into FY27	Old fixed-price jobs (~71% of power sales) were still capping margins; the turn was flagged for H2 FY26→FY27.	EBITDA swung positive (₹735 cr), gross margin ~31%, and Q1 was profitable for the first time in years. Holding.	On-track
Watch: cash / working-capital drag	Profit was getting stuck in unbilled work; ROCE only ~8%.	Customer collections +34% to ₹11,004 cr; FY26 operating cash was already ₹5,837 cr. Improving, though returns still modest.	Improving
Watch: non-power diversification	Vande Bharat, defence, transmission won but revenue mostly still to come.	Biggest-ever export order won; coal-to-ammonium-nitrate JV foundation stone laid (20 Jun 2026); nuclear/ transmission/defence backlog building.	Improving

Verdict change this quarter: both verdicts are **unchanged at YES**, and if anything the trigger read is *stronger* — the single most convincing proof yet is that BHEL's traditionally loss-making first quarter is now profitable. One new caution surfaced on this result (see below): a governance gap (no independent directors on the audit committee) and a ₹196 cr overdue receivable flagged with the accounts.

3. Earning-trigger thesis ★

The one big driver: India is building coal-fired power stations again after nearly a decade's gap, and BHEL is the dominant home-grown maker of the boiler-turbine-generator sets those plants need. The government wants ~80+ GW of new thermal capacity by 2031-32, with ~10–12 GW ordered every year, and BHEL — one of only two credible domestic suppliers — wins a large share. That backlog has now climbed to a record ₹2.60 lakh crore and is **converting into fast sales (+40% in Q1), a positive margin, and profit even in the seasonally weak quarter**. Alongside it, a second engine is quietly building: non-power diversification (transmission, nuclear, defence, railways, coal gasification) plus a first big export win. This is a real, concrete, multi-year earning trigger — and it keeps getting more visible in the numbers.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Thermal power ordering super-cycle (BTG sets)	80+ GW to be ordered by 2032; ~10–12 GW/year; BHEL wins a big share; backlog converts to double-digit sales growth as legacy low-margin jobs roll off and margins turn.	Order book ₹2.04 → ₹2.40 → ₹2.60 lakh cr (Jun-25 → Mar-26 → Jun-26). Q1 FY27 sales +40%, EBITDA turned positive, and the normally loss-making Q1 made ₹382 cr profit.	Multi-year (to 2031-32)	Strong	↑ improving — the margin turn has now reached the weakest quarter of the year.

Non-power diversification (transmission, nuclear, defence, railways, coal gasification, exports)	Grow the non-power/industry share toward 50%; new engines in nuclear, coal gasification, green hydrogen; more exports.	Non-power backlog now ₹50,000 cr+ combined; biggest-ever export order won in Q1; coal-to-ammonium-nitrate JV (with Coal India) foundation stone laid 20 Jun 2026. Revenue still mostly ahead.	Medium term	Moderate	↑ improving — first large export win and a live coal-gasification project move it forward.

4. Management-consistency scorecard

Has management delivered what it kept promising across these calls?

Period	What was promised	What actually happened	Verdict
FY22–FY24 calls (carried forward)	Thermal ordering is recovering; a visible pipeline will convert to orders, then to sales; gross margin has bottomed and "the trajectory will turn."	Correct — ~10 GW of thermal orders landed by FY24, sales grew ~19% in FY25 and FY26, margin rose 3%→7%, profit tripled. The promised turn arrived.	Delivered
Q4 FY26 call (~May 2026)	Sharp improvement is for H2 FY26 into FY27 as old fixed-price contracts roll off; record order book will keep converting; cash conversion to improve.	Q1 FY27 delivered exactly that — a loss-making quarter a year ago turned to ₹382 cr profit, order book hit a record ₹2.60 lakh cr, and collections rose 34%.	Delivered
Q1 FY27 call (16 Jul 2026)	FY27 vision: "growth with profitability" — revenue growth on robust order book, margin expansion from operating leverage, stronger cash generation; diversification and exports to grow.	Newly promised — the Q1 print already backs the direction (turnaround print, +34% collections, first big export order). To be re-checked over coming quarters.	Too-early
Ongoing (style)	Declines hard profit/margin guidance; frames things qualitatively.	Consistent stance every call — under-promises, then beats. Makes them hard to pin to a number, but the qualitative promises have landed.	Style note

Narrative drift: Still very little. The story has moved logically from "signs of recovery" (FY22) → "record orders" (FY24) → "record orders turning into sales and profit" (FY25-26) → "turnaround now sustainable, even in the weak quarter, with cash improving and diversification building" (Q1 FY27). Management was honest about the lag and the numbers have tracked their qualitative guidance almost exactly. **The one new blemish to watch:** the Q1 result carried a governance flag — the audit committee lacked independent directors when the accounts were approved — plus a ₹196 cr overdue receivable from a customer (STPG). Neither changes the earnings story, but for a government-owned company they are exactly the housekeeping items to keep an eye on.

5. Bottom line — two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing weakened the trigger — it strengthened. The thermal-ordering wave is concrete, government-backed and multi-year, BHEL is a dominant domestic supplier, and the record ₹2.60 lakh cr order book (+27%) is now converting into ~40% sales growth and, most tellingly, a **profit in the seasonally weakest quarter that lost money a year ago**. A second engine — transmission, nuclear, defence, exports, coal gasification — is visibly building. This is a genuine, live earning trigger with mounting evidence it is playing out.

Management consistent? → YES vs last quarter: unchanged

The Q1 print delivered precisely the "H2 FY26 into FY27" margin ramp management guided at the last call, and cash collections (+34%) began to answer the working-capital worry. They named this trigger early, repeated it steadily and keep delivering on the central promises, without the story drifting. They still decline hard numeric guidance, and this quarter surfaced a governance gap (audit committee without independent directors) and a ₹196 cr overdue receivable — worth watching but not story-changing. A deserved, unchanged Yes.

One honest caution (not a verdict): the business is executing well, but the share still trades at ~60 times earnings with returns on capital only ~9% and a lot of working capital tied up in long projects. The P/E has come down from 87 as profits grew, but the good news is largely known and richly built into the price — the operating story remains stronger than the value on offer at this level.

Sources: BHEL Q1 FY27 results and official "Supplementary Information — Q1 FY2026-27" investor deck (16 Jul 2026, bhel.com); Screener.in financial snapshot and quarterly data (through Jun-2026); FY22–FY24 earnings-call transcripts (Screener.in) and FY25–FY26 results, carried forward from the Q4-2026 report; financial press. This is not investment advice — please do your own due diligence.